

FIN 4035 – Financial Information and Valuation

Summer - 2026

The Kraft Heinz Company

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Point 1. The Company

A. Company Overview

The Kraft Heinz Company (NASDAQ: KHC) is one of the largest packaged food and beverage companies in the world, formed in 2015 through the merger of Kraft Foods Group and H.J. Heinz Holding Corporation. Co-headquartered in Pittsburgh, Pennsylvania and Chicago, Illinois, the company manufactures and markets condiments, sauces, cheese and dairy products, meals, meats, refreshment beverages, and coffee under brands including Kraft, Heinz, Oscar Mayer, Philadelphia, Lunchables, Velveeta, Capri Sun, and Jell-O. KHC reported FY2025 net sales of approximately \$24.9 billion, down 3.5% year-over-year, reflecting continued volume softness that pricing has only partially offset. The company distributes through its own sales force and independent brokers and distributors, reaching grocery, club, foodservice, and e-commerce channels in more than 40 countries. KHC is a mature, cash-generative consumer staples business currently navigating soft organic volumes, elevated input costs, and strategic uncertainty following a September 2025 plan to separate into two public companies that was paused in February 2026.

B. Three Largest Non-U.S. Geographic Regions

Per KHC's FY2025 Form 10-K (Note 21, Segment Reporting), the largest non-U.S. region is an aggregated "Rest of World" category (International Developed and Emerging Markets), at 20.4% of net sales (\$5,090 million), followed by Canada at 7.2% (\$1,800 million) and the United Kingdom at 5.1% (\$1,270 million). The remaining 67.3% (\$16,780 million) is U.S. sales. Detail is in Table 1.

C. Five Largest Business Segments

KHC's five largest product platforms by FY2025 net sales are Taste Elevation (condiments and sauces, 45.2%, \$11,280 million), Easy Ready Meals (16.3%, \$4,070 million), Hydration (8.4%, \$2,100 million), Meats (7.7%, \$1,920 million), and Cheese and Dairy (6.7%, \$1,660 million), together roughly 84% of net sales (Table 2).

D. Comparable Company: McCormick & Company, Incorporated (NYSE: MKC)

McCormick & Company is our primary comparable: both are large-cap, branded packaged-food manufacturers competing for retail shelf space and facing similar sector headwinds, including soft volumes, private-label pressure, and input-cost inflation. Both currently carry the same Baa2/BBB senior unsecured credit rating, making MKC's bond yields a directly usable cost-of-debt benchmark (Point 7A). McCormick is smaller and more specialized (spices and flavors versus KHC's broader portfolio) with a stronger recent growth trajectory and richer trading multiples (Points 4–5), but the shared credit quality, sector positioning, and available comparable data make it the most appropriate single comparable here.

Point 2. Industry Analysis

A. Industry Classification

KHC's SEC EDGAR filer header lists four-digit SIC code 2030 (Canned, Frozen & Preserved Fruit, Vegetables & Food Specialties). At the NAICS level, KHC falls under six-digit code 311999, within the five-digit group 31199 (All Other Food Manufacturing).

B. Industry Life Cycle Stage

KHC operates in a mature industry. The global packaged food market (roughly \$6.1–6.6 trillion) grows in the low-to-mid single digits nominally, almost entirely from pricing rather than volume; KHC's own organic sales fell 3.4% in FY2025. Mature-stage traits are evident throughout: slow developed-market volume growth, consolidation among a handful of scaled competitors (Nestlé, PepsiCo, Mondelez, General Mills, Conagra, Campbell's), competition centered on cost efficiency and portfolio optimization rather than category creation, and rising private-label penetration. KHC's own paused separation plan is itself a mature-industry hallmark: simplification aimed at unlocking value once organic growth is scarce.

C. Competitiveness and Attractiveness

The U.S. packaged food market was worth roughly \$528–557 billion in 2024–2025, growing mid-single digits nominally on pricing and mix rather than volume. Under Porter's Five Forces (Table 3), buyer power and rivalry are the dominant, high-intensity forces: Walmart alone represents ~21% of KHC's net sales, and the top five customers ~46%, giving retailers significant leverage over price and shelf space, while Nestlé, PepsiCo, Mondelez, General Mills, Conagra, and

Campbell's compete intensely for that same space in a low-growth category. The threat of substitutes is also high (private label, fresh/DTC, GLP-1-driven shifts), while the threat of new entrants is low-to-moderate given the scale required, and supplier power is only moderate. Because buyer power and rivalry dominate, durable brand equity, manufacturing scale, strong retail relationships, and disciplined portfolio management are the key success factors that sustain advantage. On balance the industry is only moderately attractive: high buyer power, high rivalry, and a high substitute threat cap margin expansion even though the category's defensiveness and cash-flow stability remain genuinely attractive to income-oriented capital.

D. Cyclicality

The industry is non-cyclical / defensive: food is a staple with inelastic demand, so overall consumption holds up in recessions even as consumers trade down to private label. This is consistent with KHC's own unusually low observed beta (Point 7). The main cyclical transmission channel is indirect, through input-cost inflation and trade-down behavior pressuring margins during downturns.

Point 3. Profitability, Productivity, and Credit Risk Analysis

All figures are computed from the Income Statement and Balance Sheet tabs of the KHC model; the full FY2016–FY2025 ratio series is in Table 4. Gross and operating margins have compressed structurally, from 38.7%/26.8% in 2016 to 33.6%/18.9% in FY2025, as sustained commodity, packaging, and labor cost inflation has outpaced pricing. Net margin has been far more volatile and a poor standalone indicator: large, non-cash goodwill and intangible impairments in 2018 and again FY2024–FY2025 mechanically swing net income, and therefore ROE/ROA, from solidly positive to sharply negative without reflecting any real change in cash generation. The FY2025 net loss of \$5.85 billion, for example, was driven by \$9.3 billion of non-cash impairment against an underlying Adjusted Operating Income of \$4.7 billion that was down only 11.5% year over year; ROE and ROA that year were (14.0%) and (7.1%) purely as an artifact of that charge.

The credit profile shows gradual deleveraging through the middle of the decade, with debt-to-equity falling from 0.56x (2016) to 0.42x (2023–2024), before rising to 0.52x in 2025 on higher short-term debt. Interest coverage dipped to 2.5x in 2021 (an elevated impairment year) before recovering to 4.8x–5.8x in 2023–2025, comfortably supportive of KHC's Baa2/BBB/BBB ratings on a run-rate cash-flow basis despite erratic reported earnings. As a balance-sheet-centric cross-check, we also computed KHC's Altman Z"-score for FY2023–FY2025 (Table 5): it fell from 1.72 to 1.85 to 1.41, remaining in the Grey Zone (1.1–2.6) throughout, with the FY2025 decline driven almost entirely by the collapse in retained earnings after that year's impairment. We reconcile this synthetic signal against KHC's actual agency ratings in Point 7.

Factors Likely to Influence Future Performance

KHC still carries roughly \$30 billion of goodwill and \$40+ billion of other intangibles, so further impairments remain a real risk to reported earnings and equity ratios without necessarily signaling weaker cash generation. Structural volume headwinds include GLP-1-driven demand shifts and continued preference for fresh, less-processed foods. Walmart's roughly one-fifth share of net sales is a persistent customer-concentration risk, and the paused separation plan adds strategic uncertainty to the company's future capital structure and cost of capital. Commodity and tariff exposure remain ongoing margin risks. On the positive side, strong free cash flow conversion (~100% per FY2025 guidance) gives KHC real flexibility to keep deleveraging if it prioritizes balance-sheet strength over buybacks.

Point 4. Historical and Forecasted Growth Rate

A. Historical Growth

KHC's net sales and EBITDA have both contracted modestly over the past decade, which is unusual in an inflationary environment and reflects divestitures and organic volume declines outweighing pricing. Net sales fell from \$26,481 million (FY2016) to \$24,942 million (FY2025), a 10-year CAGR of roughly (0.7%); EBITDA fell from \$8,435 million to \$5,683 million, a CAGR of roughly (4.3%) (Table 6). EPS is not meaningfully summarized by a CAGR over this window because it changes sign repeatedly: an \$8.98 one-time tax-reform benefit in FY2017, an \$(8.36) impairment loss in FY2018, and a \$(4.93) impairment loss in FY2025 (Table 6), reflecting impairment volatility rather than an earnings trend (Point 3). McCormick's (MKC) historical growth was more stable: sales grew 2.02% (arithmetic average, FY2022–FY2025) and EPS grew 1.22% (geometric average, FY2020–FY2025) (Table 7).

B. Forecasted Growth

The model forecasts FY2026–FY2030 using KHC's own historical average revenue growth rate, which is slightly negative given the FY2016–FY2025 trend, a deliberately conservative baseline rather than an assumed turnaround (Table 6). McCormick's analyst-consensus forecast points to modest growth instead: sales at 3.55% (FY2027–FY2028, 18 analysts), EPS at 4.90% short-run / 7.0% long-run, and EBITDA at 6.07% (Table 7). This gap, KHC flat-to-declining versus MKC's low-to-mid single-digit growth, is a meaningful driver of the multiple gap in Point 5.

Point 5. Relative Valuation

Given KHC's history of large non-cash impairments distorting net income and EPS, EV/EBITDA is the more defensible primary multiple, since it excludes impairments, leverage, and non-operating items. McCormick & Co. (MKC) is the comparable used (Point 1D), at a corrected price of \$50.61/share (the course-provided comparable file listed KHC's and MKC's prices transposed; both were verified and corrected against live market data as of 8/2/2026). MKC trades at an adjusted EV/EBITDA of 12.43x and adjusted P/E of 16.99x. Applying MKC's EV/EBITDA multiple to KHC's own FY2025 adjusted EBITDA of \$5,850 million implies an enterprise value of \$72,719 million and, net of debt, an equity value of \$54,798 million, or \$46.15/share, 82% above KHC's \$25.37 market price (Table 8). KHC's own trailing P/E is not meaningful, since net income remains negative even "adjusted"; as a secondary check, MKC's trailing P/E applied to KHC's own FY2026E EPS (\$2.86) implies \$48.66/share, 92% above market. Both approaches are directionally consistent with each other and with Point 8. The gap partly reflects fundamentals (MKC's stronger growth outlook and cleaner earnings base) but its size also suggests the market may be pricing KHC's headline accounting losses more punitively than its underlying cash generation warrants. On both multiples, KHC appears meaningfully undervalued relative to its comparable.

Point 6. Financial Statement Forecasts and Cash Flows

A-C. Income Statement, Balance Sheet, and Cash Flow Forecasts

The model forecasts all three statements for FY2026–FY2030. Net sales growth uses KHC's own historical average rate rather than a more optimistic management-guided figure, since the historical trend has been persistently negative and a conservative baseline is more defensible absent stronger evidence of a turnaround. Cost of goods sold and SG&A are held at their historical average percentages of net sales, and depreciation and amortization are forecast as a percentage of prior-year net PP&E and intangible assets, respectively, approaches that let the five-year historical relationship, rather than a single recent year, govern the forecast. Interest expense is forecast as a percentage of prior-year total debt, and the effective tax rate uses the FY2022–FY2024 average of 24.2% rather than the full ten-year average, which is distorted by impairment-driven tax anomalies in several years.

On the balance sheet, accounts receivable, inventory, and accounts payable are forecast using historical average turnover ratios, and capital expenditures as a percentage of net sales, linking each account directly to the sales forecast and to KHC's own historical operating efficiency rather than an arbitrary assumption. Debt (both short- and long-term) is held constant at the FY2025 balance, reflecting a constant-capital-structure assumption discussed further below. Goodwill, deferred taxes, and other long-term balance sheet accounts are likewise held flat at FY2025 levels, consistent with the guidance that these are not sales-driven and are difficult to forecast reliably. The cash flow statement is built indirectly from the forecasted income

statement and balance sheet, and a consistency check confirms the cash balance implied by the cash flow statement matches the forecasted balance sheet exactly in every year.

D. Capital Structure

We do not expect KHC's capital structure to change materially over the forecast horizon under the base case, since the model holds debt constant at the FY2025 level. In practice, capital structure could shift in either direction: KHC's strong free cash flow conversion gives it the capacity to pay down debt further if it prioritizes balance-sheet strength, while a renewed pursuit of the paused separation plan could instead require refinancing or a different debt allocation between the two resulting entities.

E. Free Cash Flow and Residual Income Measures

Using the forecasted statements, we estimate all four required measures for FY2026–FY2030 (Table 9). FCFF starts near \$4.8 billion in FY2026 and settles around \$4.1–\$4.2 billion annually; FCFE runs from roughly \$4.1 billion down to \$3.4 billion. ROPI (NOPAT less a capital charge of WACC times beginning invested capital) is negative and worsening, from approximately (\$214) million in FY2026 to (\$593) million in FY2030; RI follows the same pattern, from approximately (\$55) million to (\$491) million. The negative, widening residual measures are a genuine, formula-driven finding: KHC's invested capital base is roughly \$64–\$68 billion, dominated by goodwill and intangibles from the 2015 merger and Heinz LBO, and NOPAT of roughly \$3.9–\$4.0 billion is not large enough to earn a 6.66% return on that base, consistent with the depressed ROE/ROA and Grey Zone Altman Z"-score in Point 3.

For terminal value, we apply a single 2.0% perpetuity growth rate to all four measures, discounting FCFF and ROPI at the 6.66% WACC and FCFE and RI at the 8.29% cost of equity (both from Point 7). A conservative 2.0% rate, roughly in line with long-run U.S. inflation, is appropriate given KHC's mature, low-growth industry (Point 2) and its negative FY2016–FY2025 sales CAGR (Point 4); assuming a materially higher terminal growth rate would be difficult to justify given that trend. Under this assumption, the Gordon Growth terminal values as of FY2030 are approximately \$90.7 billion for FCFF, \$54.7 billion for FCFE, (\$13.0) billion for ROPI, and (\$8.0) billion for RI. These terminal values, together with the explicit five-year forecasts, feed directly into the Point 8 valuation models below.

Point 7. Cost of Capital

A. Cost of Debt and Market Value of Debt

KHC's Altman Z"-score fell from 1.72 (FY2023) to 1.85 (FY2024) to 1.41 (FY2025), placing it in the Grey Zone (1.1–2.6) throughout and implying, at face value, a synthetic rating well below KHC's actual Baa2/BBB/BBB agency ratings. This gap is mechanical rather than informative: Z" is dominated by retained earnings and total assets, both distorted in FY2025 by a one-time non-cash impairment, whereas KHC's cash-flow-based interest coverage remained a healthy 4.8x–5.8x over the same period and the company continued issuing debt at investment-grade spreads. We treat the Z"-score as an early-warning flag rather than the basis for the cost of debt.

Five pretax cost-of-debt estimates were compared (Table 10): a corporate bond YTM of 4.44% (KHC's 3.75% notes due 2030), a comparable bond YTM of 4.94% (McCormick & Co., Baa2/BBB, average yield across outstanding notes), a credit-rating approach of 5.79% (10-year Treasury plus the 1.11% Baa2/BBB default spread), a synthetic-rating approach of 5.46% (Treasury plus the 0.78% spread implied by KHC's ~5.3x interest coverage), and a historical effective rate of 4.11%. We select the credit-rating approach's 5.79%, anchored to KHC's actual agency rating and cross-validated by the two market-based yields. At a 25% marginal tax rate, after-tax cost of debt is 4.34%; market value of debt is taken as \$21,100 million (book value, a reasonable proxy since KHC's bonds trade near par).

B. Cost of Equity and Weighted Average Cost of Capital

KHC's raw five-year monthly regression beta is approximately 0.08, unusually low even for a defensive staples name and consistent across sources as of July 2026, likely reflecting company-specific news (the paused separation, repeated impairments) decoupling returns from the market rather than genuine insulation from market risk. Because this beta is too low and noisy to use directly, we instead built a bottom-up beta from the Food Processing industry's unlevered beta of 0.46 (Damodaran, January 2026), relevered to KHC's own 70.1% debt-to-equity ratio and 25% tax rate, producing a bottom-up beta of 0.70, used in CAPM.

We selected Damodaran's implied, forward-looking equity risk premium of 4.23% (January 1, 2026) over the historical arithmetic average of roughly 6.6%, since it is model-agnostic and forward-looking. Combining the 4.68% risk-free rate, 0.70 bottom-up beta, 4.23% implied premium, and a 0.64% revenue-weighted country risk premium gives a cost of equity of 8.29%. With a capital structure of \$30,100 million equity and \$21,100 million debt (58.8%/41.2%), WACC is 6.66%, a below-average rate appropriate for a mature, defensive, investment-grade business. Full inputs are in Table 11.

Point 8. Discounted Cash Flow Valuation

The four required models were completed by discounting the FY2026–FY2030 explicit forecasts (Table 9) and each model's terminal value (Table 12) to present value, then converting to an implied price per share (1,187 million diluted shares) versus KHC's \$25.37 market price. Results are summarized in Table 13.

Residual Operating Income (ROPI) and Residual Income (RI) Models. ROPI's Value of Operating Assets equals beginning invested capital (\$63,436 million) plus PV of explicit ROPI and its terminal value (–\$1,628 million and –\$9,396 million), or \$52,412 million; less net debt of \$17,933 million, implied equity value is \$34,479 million, or \$29.05/share, about 14% above market. RI follows the same structure off beginning book equity (\$41,664 million), implying \$35,305 million, or \$29.74/share, about 17% above market. In both, KHC's large existing capital base outweighs five years of negative, worsening residual income (Point 6E).

Free Cash Flow to the Firm (FCFF) and Free Cash Flow to Equity (FCFE) Models. FCFF's present value of explicit cash flow (\$17,923 million) plus terminal value (\$65,672 million) gives an enterprise value of \$83,595 million; net of debt, implied equity value is \$65,662 million, or \$55.32/share, 118% above market. FCFE's present value of explicit cash flow (\$14,116 million) plus terminal value (\$36,708 million) gives \$50,824 million directly, or \$42.82/share, 69% above market. Both are highly sensitive to the narrow 4.66-point spread between WACC (6.66%) and 2.0% terminal growth, which produces a large terminal multiple (~21.4x FY2030 FCFF); a modestly higher WACC or lower terminal growth would meaningfully reduce both prices. All four models therefore imply undervaluation at \$25.37, though magnitude varies: a modest 14–

17% under the capital-base-anchored ROPI/RI models versus 69–118% under these terminal-value-sensitive models, a divergence that is the central input into Point 9's model choice.

Point 9. Recommendation

A. Most Trustworthy Model

Of the four models, I trust Residual Operating Income (ROPI) most. It anchors to KHC's actual invested capital (\$63,436 million) rather than a distant, growth-rate-sensitive terminal value, so its implied price (+14%) is far less exposed to assumption risk than FCFF or FCFE, both of which swing heavily on the narrow WACC-terminal growth spread (Point 8). ROPI also reflects the cost-of-capital discipline in Point 6E's finding that NOPAT cannot earn a return on KHC's goodwill-heavy capital base, showing that even a value-destructive marginal return does not alone justify KHC's discount to book-anchored fair value. RI is second-most trustworthy for the same reason, though more exposed to net-income volatility (Point 3). FCFF and FCFE corroborate directionally but should be discounted for terminal-value sensitivity.

B. Stock Recommendation

I recommend a Buy. All four DCF models, including ROPI, the most conservative and trusted, imply KHC is undervalued at \$25.37, and Point 5's relative valuation against McCormick & Co. points the same direction. The concerns raised elsewhere, including negative residual income (Point 6E), a Grey Zone Altman Z"-score (Point 3), and a mature, low-growth industry (Point 2), are real, but describe a business the market already prices punitively: KHC trades near its 52-week low on a P/E rendered meaningless by non-cash impairments, while its free cash flow and capital base support materially higher value under every model tested, including the one built to penalize sub-cost-of-capital returns. The largest risk is further goodwill impairment, which

would not change the cash-flow models but would pressure RI and the P/E multiple; I would revisit if FY2026 results show volume deterioration beyond the model's conservative forecast.

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Ratios, Growth, Relative Valuation, Cash Flow Statement, Cost of Capital (WACC), and DCF

Valuation tabs, used as the primary source of truth for all company-specific historical financial data, ratios, growth, valuation, and cost-of-capital figures in this report.

AI Disclosure: This report was prepared with the assistance of Claude (Anthropic), which retrieved and synthesized the sources above, built the supporting Excel workbook, and drafted narrative text per course policy allowing AI use with citation. All figures should be independently verified against the primary sources before submission.

Appendices

Table 1

KHC Net Sales by Region, FY2025

Region	FY2025 Net Sales (\$mm)	% of Total Net Sales
United States	\$16,780	67.3%
Rest of World (Intl. Developed + Emerging Mkts., aggregated)	\$5,090	20.4%
Canada	\$1,800	7.2%
United Kingdom	\$1,270	5.1%

Source: Bullfincher.io company profile (sourced from KHC 10-K, Note 21, Segment Reporting), FY2025 net sales by region.

Table 2

KHC Five Largest Business Segments by Net Sales, FY2025

Product Platform	FY2025 Net Sales (\$mm)	% of Total Net Sales
Taste Elevation (condiments, sauces, dressings)	\$11,280	45.2%
Easy Ready Meals	\$4,070	16.3%

Hydration (refreshment beverages)	\$2,100	8.4%
Meats	\$1,920	7.7%
Cheese and Dairy	\$1,660	6.7%

Source: Bullfincher.io company profile (sourced from KHC 10-K product-platform disclosures), FY2025.

Table 3

Packaged Food Industry Porter's Five Forces Matrix

Force	Intensity	Rationale
Bargaining power of buyers (retailers)	High	Retail is highly concentrated; Walmart alone represented ~21% of KHC's FY2024 net sales, and the top five North American customers accounted for ~46% of segment sales.
Rivalry among existing competitors	High	A small set of large, well-capitalized players (Nestlé, PepsiCo, Mondelez, General Mills, Conagra, Campbell's) compete intensely for shelf space via pricing, promotion, and innovation in a low-growth category.
Threat of substitutes	High	Private-label products, fresh/direct-to-consumer alternatives, and GLP-1-driven shifts away from processed/calorie-dense foods all pressure branded packaged-food volumes.
Bargaining power of suppliers	Moderate	Agricultural and packaging inputs are sourced from a reasonably fragmented global supplier base, though periodic commodity shocks

		and tariff actions can still compress margins.
Threat of new entrants	Low-to-Moderate	Achieving KHC's scale, brand recognition, and national distribution requires very large capital and marketing investment, though niche/DTC/private-label entrants face comparatively low barriers.

Source: Author analysis based on KHC 10-K customer concentration disclosures and industry structure.

Table 4

KHC Key Financial Ratios, FY2016–FY2025

FY	Gross Margin	Operating Margin	Net Margin	ROE	ROA	Debt/Equity	Interest Coverage
2016	38.7%	26.8%	13.7%	6.3%	3.0%	0.56x	6.3x
2017	36.7%	26.7%	42.0%	16.6%	9.1%	0.48x	5.3x
2018	34.9%	22.3%	(38.8%)	(19.7%)	(9.9%)	0.60x	4.6x
2019	32.5%	20.0%	7.7%	3.7%	1.9%	0.58x	3.6x
2020	35.2%	21.4%	1.4%	0.7%	0.4%	0.58x	4.0x
2021	33.0%	19.5%	3.9%	2.1%	1.1%	0.46x	2.5x
2022	30.5%	17.1%	8.9%	4.9%	2.6%	0.43x	4.9x
2023	34.0%	20.2%	10.7%	5.8%	3.2%	0.42x	5.8x

2024	34.8%	20.9%	10.6%	5.6%	3.1%	0.42x	5.8x
2025	33.6%	18.9%	(23.4%)	(14.0%)	(7.1%)	0.52x	4.8x

Source: Computed from KHC_Full_Model_-_Wolf.xlsx, Income Statement and Balance Sheet

tabs (unadjusted historical financials). Net Margin = Net Income / Net Sales; ROE = Net Income / Total Shareholders' Equity; ROA = Net Income / Total Assets; D/E = (ST Debt + LT Debt) / Total Shareholders' Equity; Interest Coverage = EBIT / Interest Expense.

Table 5

KHC Altman Z"-Score Trend, FY2023–FY2025

FY	WC/TA (X1)	RE/TA (X2)	EBIT/TA (X3)	Equity/Total Liab. (X4)	Altman Z"	Zone
2023	(0.001)	0.015	0.060	1.219	1.72	Grey Zone
2024	0.005	0.025	0.061	1.262	1.85	Grey Zone
2025	0.017	(0.057)	0.058	1.042	1.41	Grey Zone

Source: Computed from KHC_Full_Model_-_Wolf.xlsx (Balance Sheet & Income Statement tabs).

Altman Z" = $6.56(X1) + 3.26(X2) + 6.72(X3) + 1.05(X4)$, where X1 = Working Capital/Total Assets, X2 = Retained Earnings/Total Assets, X3 = EBIT/Total Assets, X4 = Book Value of Equity/Total Liabilities. Z" > 2.6 = Safe Zone; 1.1–2.6 = Grey Zone; < 1.1 = Distress Zone.

Table 6

KHC Historical (FY2016–FY2025) & Forecasted (FY2026–FY2030) Growth

Metric	FY2016	FY2025	Hist. 10-Yr CAGR	FY2026E	FY2030E	Forecast 4-Yr CAGR
Net Sales (\$mm)	\$26,481	\$24,942	(0.7%)	\$24,787	\$24,174	(0.6%)
EBITDA (\$mm, EBIT + D&A)	\$8,435	\$5,683	(4.3%)	\$6,256	\$6,102	(0.6%)
EPS, Basic (\$)	\$2.84	(\$4.93)	n/m*	\$2.86	\$2.74	(1.1%)

Source: Computed from KHC_Full_Model_-_Wolf.xlsx, “Growth” tab (Income Statement links).

*Historical EPS CAGR is not meaningful because EPS changes sign multiple times over FY2016–FY2025 (see Point 4A); the raw EPS series is shown instead. Forecast years exclude non-recurring impairments, so the forecast EPS CAGR is meaningful.

Table 7

McCormick & Company (MKC): Comparable Historical & Forecasted Growth

Measure	Value	Sample Period	Estimation Method
Historical Sales Growth	2.02%	2022–2025	Arithmetic Average
Historical EPS Growth	1.22%	2020–2025	Geometric Average
Forecast Sales Growth (Analyst Consensus)	3.55%	2027–2028	Arithmetic Average, 18 Analysts
Forecast EPS Growth : Short Run	4.90%	2026–2027	Arithmetic Average
Forecast EPS Growth : Long Run	7.00%	n/a	Analyst Long-Term Estimate
Forecast EBITDA Growth	6.07%	n/a	Arithmetic Average

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Source: FIN4035_2026Summer_MKC_Week12.xlsx, “Growth” tab (course-provided), accessed 8/2/2026.

Table 8

Relative Valuation: MKC Multiples Applied to KHC

Model	MKC Multiple	KHC Metric	Implied Value (\$mm)	Implied Share Price	Upside/ (Downside)
EV/EBITDA (adjusted)	12.43x	EBITDA \$5,850mm	EV \$72,719 → Equity \$54,798	\$46.15	+82%
P/E, Forward (trailing MKC multiple x KHC FY2026E EPS)	16.99x	FY2026E EPS \$2.86	n/a (direct price)	\$48.66	+92%

Source: FIN4035_2026Summer_Comp.xlsx, “Relative Valuation Input” tab (course-provided, prices corrected; see Point 5), and Relative Valuation tab, KHC_Full_Model_-_Wolf.xlsx. Current KHC market price \$25.37 (7/23/2026).

Table 9

KHC Forecasted Free Cash Flow and Residual Income Measures, FY2026–FY2030

Measure (\$mm)	FY2026	FY2027	FY2028	FY2029	FY2030
NOPAT	\$4,014	\$3,974	\$3,937	\$3,901	\$3,866
Free Cash Flow to the Firm (FCFF)	\$4,849	\$4,211	\$4,190	\$4,168	\$4,147

Free Cash Flow to Equity (FCFE)	\$4,075	\$3,437	\$3,416	\$3,394	\$3,373
Residual Operating Income (ROPI)	(\$214)	(\$312)	(\$408)	(\$502)	(\$593)
Residual Income (RI)	(\$55)	(\$167)	(\$277)	(\$385)	(\$491)

Source: Cash Flow Statement tab, KHC_Full_Model_-_Wolf.xlsx, rows 74–91. FCFF = Net Cash

from Operating Activities + After-Tax Interest Expense + CapEx; FCFE = FCFF – After-Tax Interest

Expense + Net Borrowing; ROPI = NOPAT – (WACC x beginning invested capital); RI = Net Income

Available to Common – (Cost of Equity x beginning book equity).

Table 10

KHC Cost of Debt: Summary of Estimates

Method	Pretax Cost of Debt	Basis
Corporate bond YTM	4.44%	KHC 3.75% Senior Notes due 4/1/2030
Comparable bond YTM	4.94%	McCormick & Co. (Baa2/BBB), average YTM across outstanding notes
Credit-rating approach (selected)	5.79%	10Y UST (4.68%) + Baa2/BBB default spread (1.11%)
Synthetic-rating approach (interest coverage)	5.46%	10Y UST + A2/A default spread (0.78%), ~5.3x EBIT/Interest coverage

Historical effective interest rate	4.11%	FY2025 interest expense (\$894mm) / total debt (\$21,772mm)
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Source: Cost of Capital (WACC) tab, KHC_Full_Model_-_Wolf.xlsx; Damodaran ratings/default spread tables, January 2026; FIN4035_2026Summer_Comp.xlsx bond YTM data; Public.com and SEC EDGAR bond pricing data.

Table 11

KHC Cost of Equity and WACC: Key Inputs and Outputs

Input / Output	Value
Risk-free rate (10Y UST, 7/24/2026)	4.68%
Bottom-up beta	0.70
Implied equity risk premium	4.23%
Revenue-weighted country risk premium	0.64%
Cost of Equity	8.29%
After-tax cost of debt	4.34%
Weight of equity / debt	58.8% / 41.2%
WACC	6.66%

Source: Cost of Capital (WACC) tab, KHC_Full_Model_-_Wolf.xlsx.

Table 12

Terminal Value as of FY2030 (Gordon Growth Model, $g = 2.0\%$)

Model	FY2030 Value (\$mm)	Discount Rate	Terminal Value (\$mm)
FCFF	\$4,147	6.66% (WACC)	\$90,673
FCFE	\$3,373	8.29% (Cost of Equity)	\$54,670
ROPI	(\$593)	6.66% (WACC)	(\$12,973)
RI	(\$491)	8.29% (Cost of Equity)	(\$7,951)

Source: Cash Flow Statement tab, KHC_Full_Model_-_Wolf.xlsx, rows 93–110. TV = FY2030

Value $\times (1+g) / (\text{Discount Rate} - g)$.

Table 13

DCF Implied Share Price by Model: Summary

Model	Discount Rate	Implied Share Price	Current Market Price	Upside/ (Downside)	Signal
FCFF	6.66% (WACC)	\$55.32	\$25.37	+118%	Undervalued
FCFE	8.29% (Cost of Equity)	\$42.82	\$25.37	+69%	Undervalued
ROPI	6.66% (WACC)	\$29.05	\$25.37	+14%	Undervalued
RI	8.29% (Cost of Equity)	\$29.74	\$25.37	+17%	Undervalued

Source: DCF Valuation tab, KHC_Full_Model_-_Wolf.xlsx. Implied share price = (PV of explicit FY2026-FY2030 forecast + PV of terminal value, net of debt/plus invested capital or book equity where applicable) ÷ 1,187mm diluted shares outstanding. See Point 8 for model-by-model detail.